

		With regards to alter ego liability, “two conditions must be met before the alter ego doctrine will be invoked. First, there must be such a unity of interest and ownership between the corporation and its equitable owner that the separate personalities of the corporation and the shareholder do not in reality exist. Second, there must be an inequitable result if the acts in question are treated as those of the corporation alone.” [Citations.]” (<i>Hasso v. Hapke</i> (2014) 227 Cal.App.4th 107, 155.) Plaintiff relies on <i>Rutherford Holdings, LLC v. Plaza Del Rey</i> (2014) 223 Cal.App.4th 221, where the court held that Plaintiff’s alter ego liability cause of action was sufficient where the Plaintiff alleged: “Caswell dominated and controlled PDR; that a unity of interest and ownership existed between Caswell and PDR; that PDR was a mere shell and conduit for Caswell’s affairs; that PDR was inadequately capitalized; that PDR failed to abide by the formalities of corporate existence; that Caswell used PDR assets as her own; and that recognizing the separate existence of PDR would promote injustice.” (<i>Id.</i> at 235). The court held that “Rutherford was required to allege only ‘ultimate rather than evidentiary facts.’ ... Moreover, the ‘less particularity [of pleading] is required where the defendant may be assumed to possess knowledge of the facts at least equal, if not superior, to that possessed by the plaintiff,’ which certainly is the case here.” (<i>Id.</i> at 236 [internal citations omitted]). However, Plaintiff’s allegations are not as specific as those set forth in <i>Rutherford</i>. Furthermore, Plaintiff fails to allege the second element, which is that there would be an inequitable result if the acts in question are treated as those of the corporation alone. Accordingly, the court finds that Plaintiff failed to allege alter ego liability against the individual Defendants. Nevertheless, Plaintiff has adequately alleged individual liability for some of the causes of action, as more fully explained below. <u>Fraud causes of action</u> Plaintiff asserts four claims for fraud: fraudulent misrepresentation, concealment, fraudulent inducement, and negligent misrepresentation. The essential allegations for a fraud claim include “(a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or ‘scienter’); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage.” (<i>Engalla v. Permanente Medical Group, Inc.</i> (1997) 15 Cal.4th 951, 974.). Facts must be plead with particularity, and this requirement “necessitates pleading <i>facts</i> which ‘show how, when, where, to whom, and by what means the representations were tendered.’” (<i>Lazar v. Superior Court</i> (1996) 12 Cal.4th 631, 645). “An action for promissory fraud may lie where a defendant fraudulently induces the plaintiff to enter into a contract.” (<i>Id.</i> at 638). Additionally, the elements for a claim for negligent misrepresentation are: “1. The defendant must have made a representation as to a past or
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		existing material fact. [¶] 2. The representation must have been untrue; [¶] 3. Regardless of his actual belief the defendant must have made the representation <i>without any reasonable ground for believing it to be true</i>; [¶] 4. The representation must have been made with the intent to induce plaintiff to rely upon it; [¶] 5. The plaintiff must have been unaware of the falsity of the representation; he must have acted in reliance upon the truth of the representation and he must have been justified in relying upon the representation. [¶] 6. And, finally, as a result of his reliance upon the truth of the representation, the plaintiff must have sustained damage.” (<i>Continental Airlines, Inc. v. McDonnell Douglas Corp.</i> (1989) 216 Cal.App.3d 388, 402 [emphasis in original]). A cause of action for negligent misrepresentation is “sound in fraud and, therefore, each element must be pleaded with specificity.” (<i>Daniels v. Select Portfolio Servicing, Inc.</i> (2016) 246 Cal.App.4th 1150, 1166, overruled on other grounds, <i>Sheen v. Wells Fargo Bank, N.A.</i> (2022) 12 Cal.5th 905, 919-920, 948, fn.12.) Defendants contend that Plaintiff failed to plead these claims with the requisite specificity, and contend that Plaintiff cannot allege justifiable reliance, because Plaintiff had ample opportunity to verify the very facts it now claims were concealed or misstated. Specifically, Plaintiff alleges that it had 21 days to conduct due diligence, was permitted to visit the business at the end of each business day for three weeks before purchasing, and personally observed the daily on-site cash collections. The court finds that Plaintiff adequately plead all four claims for fraud. With regards to the fraudulent and negligent misrepresentation claims, Plaintiff adequately plead that in September of 2024, Defendant Matsuki provided the Plaintiff with the business’s monthly expense information, that Plaintiff relied on when making an offer. (Compl., ¶ 13). In November of 2024, Defendant Anthony Perkins discussed the monthly operating and payroll expenses, as well as profitability based on the reported revenue and expenses. (Compl., ¶ 14). In the three weeks following the signed amended agreement on January 10, 2025, Plaintiff would observe Anthony Perkins removing bills and coins from two coin change machines and replenishing their contents, but he did not disclose to the Plaintiff the existence of the compartment containing \$5 bills within the larger change machine intentionally hidden from Plaintiff. The due diligence documentation provided by the Defendant also omitted any reference to costs associated with replenishing the \$5 bill compartment. (Compl., ¶ 18). Furthermore, Plaintiff alleged that Defendants reported the full \$20 as revenue but deliberately failed to account for the approximate \$10 that was removed from the location. (Compl., ¶ 21). Plaintiff alleges that it incurred damages, which include, but are not limited to, the disparity between the purchase price and the actual value of the business, lost profits, and additional consequential damages resulting from the Defendants’ conduct. (Compl., ¶ 27). Accordingly, Plaintiff has alleged the “who” (Anthony Perkins and Matsuki Perkins), the “where” (in the advertisement and at the business location), the “how” and the “means” (through the advertisement, the reports, and the concealment of the hidden compartment), the “when” (September and November of 2024, and the three weeks following the agreement) and to whom (to Mr. Lad and Mr. Desai).
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